www.tntextbooks.in

and Y axis represents the factor price and revenue product. MRP is the Marginal Revenue Product Curve and ARP is the Average Revenue Product curve. AFC is the Average Factor Cost curve and MFC is the Marginal Factor Cost curve. AFC is horizontal under perfect competition and MFC coincides with it.

When there is perfect competition in the factor market, the firm is in equilibrium (i.e., earning maximum profits) only when MFC = MRP. Hence, in the diagram, the firm reaches equilibrium at point Q by employing ON units of factors and paying OP price (NQ) where MFC = MRP. At the point Q, MRP = ARP. The price paid to the factor (NQ) is also equal to marginal revenue product (NQ) and average revenue product (NQ). This means that there is no exploitation of factors under perfect competition. Beyond the point Q, no employer will employ factors, because after that point, the price paid to the factor is more than marginal revenue product and average revenue product.

Marginal Productivity Theory under Imperfect Competition

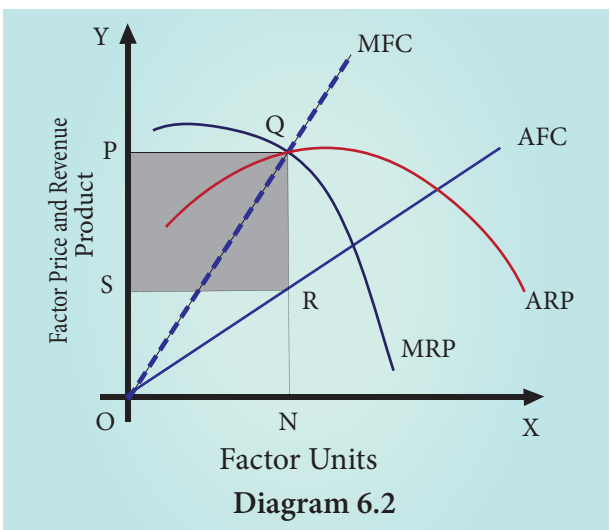

Diagram 6.2

In diagram 6.2 the factor pricing under imperfect competition is represented. AFC is Average Factor Cost curve. It represents the price paid to the factors. It increases as the number of factors demanded by the employer increases. As AFC rises, MFC lies above AFC. It represents the marginal cost paid to the factors. At the point Q, MFC = MRP, where the employer attains his maximum profit and so he stops employment of the factors at the point. But the average cost paid is NRSO and the average revenue obtained is NQ or OP. Total revenue obtained is NQPO. Therefore, exploitation per unit of factor is RQ. But the total number of factors is ON. Thus, the total exploitation of factor by the employer is RQ X SR = "PQRS" (shaded area). Thus, under imperfect competition, factor is exploited at the equilibrium position.

Criticisms

This theory is subject to a few criticisms

1. In reality, the factors of production are not homogenous.
2. In practice, factors cannot be substituted for each other.
3. This theory is applicable only in the long–run. It cannot be applied in the short-run.

6.5 Rent

6.5.1 Meaning

Rent is the price or reward given for the use of land or house or a machine to the owner. But, in Economics, "Rent" or "Economic Rent" refers to that part of